

BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

20230930-DK-BUTTERFLY-1, INC.	X	
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	:	FMC Docket No. 25-01
	:	
Complainant,:	:	
	:	
vs.	:	
	:	
BAL CONTAINER LINE CO., LIMITED,	:	
	:	
	:	
Respondent.:	:	
	:	
	:	
	X	

**BRIEF FOR RESPONDENT,
BAL CONTAINER LINE CO., LIMITED**

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I. PRELIMINARY STATEMENT

Respondent BAL CONTAINER LINE CO., LIMITED (“BAL”), by and through its undersigned counsel, respectfully submits this Opposition Brief in response to the Opening Brief filed by Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant” or “BBBY”).

II. INTRODUCTION

BBBY alleges that BAL violated 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 regarding demurrage and detention (“D&D”) charges assessed in 2021 and 2022. These claims lack merit. BAL’s D&D practices were reasonable, publicly filed, and consistent with applicable tariff provisions and FMC regulations. BBBY, a large and experienced importer, did not adequately manage its import, distribution, and warehouse systems and capacity during this period, and now seeks to shift responsibility for the resulting charges to BAL. BAL and BBBY had no direct relationship with each other; BBBY worked through experienced intermediaries.

BBBY bears the burden of proof on each element of its claim, including providing evidence sufficient to persuade the Commission. As detailed below, BBBY cannot and has not met this burden. In particular, BBBY does not provide the container-by-container analysis that is required by governing law. The record does not support the broad and vague relief BBBY seeks, and the complaint should therefore be denied.

BAL demonstrates below that: (1) BBBY has failed to meet its burden of proof; (2) BAL’s D&D practices were reasonable; and (3) BBBY’s own business decisions caused the charges at issue.

BBBY’s own opening brief contends that BBBY paid \$3,673,583 in detention charges, while Norton Lilly’s records show that detention invoices issued on BAL’s behalf in connection with BBBY’s cargo initially totaled [REDACTED]. RPFF 73-74. Thus, more than half of the detention initially invoiced on BAL’s behalf was not ultimately collected, meaning that more than \$4.2 million in detention charges were canceled, mitigated, or waived. RPFF 75-76.

III. PROPOSED FINDINGS OF FACT

BAL respectfully incorporates by reference its concurrently filed Proposed Findings of Fact.

IV. STATEMENT OF FACTS

A. BAL Had No Direct Relationship with BBY; Detention and Demurrage Days for Unavailable or Closed Days Were Removed from Bills

BAL Container Line Co., Limited was a licensed ocean common carrier that provided containerized cargo transportation services between Asia and the United States. RPFF 4. During the relevant period, BAL operated under published tariffs that set forth its D&D rules, free time, and rates. RPFF 5.

At BAL, Cathy Sun served as Director of Equipment Control and was responsible for tracking and managing containers and handling detention matters. RPFF 6. Parker Zhu at BAL served as Assistant to the Senior Vice President and was responsible for accounts payable and collecting funds from customers, including demurrage. RPFF 7.

Cathy Sun, who is not a native English speaker but who testified through a translator, testified that the purpose of BAL's detention charges was "to expedite the flow between the goods and the container." RPFF 8. Ms. Sun further testified that BAL announced its rates on the FMC website in advance, issued proper invoices, and removed closed days from detention invoices in accordance with FMC guidance. RPFF 9. Ms. Sun also confirmed that the invoices sent to customers were in alignment with the published rate filed with the FMC. RPFF 10. BAL retained Norton Lilly International ("Norton Lilly") as its agent to handle certain operational functions in the United States, including calculating detention charges according to BAL's rates and container activity and issuing and collecting detention invoices on BAL's behalf. RPFF 11. Norton Lilly communicated with BAL on a daily basis regarding container activity and abnormalities. RPFF 12.

BAL appointed marine terminal operators ("MTOs") in the United States to calculate, assess, and collect demurrage fees on BAL's behalf. *See* RPFF 13 (Zhu Dep. Tr. 51:5-17) ("[T]he

demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes. And the clients would most likely contact the terminal directly and the terminal might make the adjustments directly.”). In documents provided by SSA and TraPac (MTOs in Los Angeles and Long Beach), these MTOs confirmed they extended free time when the terminal was closed or when truckers could not return empty containers. RPFF 15. The terminals maintained records of closed dates and issued “trouble tickets” to document events when containers were inaccessible or unavailable for pickup, at which point free time was extended and no demurrage was charged. RPFF 16.

Parker Zhu acknowledged that charging demurrage for containers placed in inaccessible areas of a terminal is unreasonable: “When a container is placed in an inaccessible area of the terminal and if the terminal still charges fees for this time, I believe it’s unreasonable to the beneficiaries. The terminals, they understand this problem and therefore their invoices has already reduced such a charge when the container is inaccessible during this time.” RPFF 17.

Norton Lilly, acting as BAL’s agent, similarly maintained a list of terminal closed dates based on terminal statistics, which was provided to Norton Lilly so that detention amounts for closed dates could be automatically removed from invoices. RPFF 19-20. Additionally, when clients claimed they were unable to obtain terminal appointments to return containers, BAL required the client to provide evidence, and after review, BAL would adjust the detention charge where the evidence was reasonable. RPFF 21.

BAL did not enter into any service contract with BBY and had no direct relationship with BBY. RPFF 33 (Sun Dep. Tr. 85:17–20) (“Was there ever a direct contractual relationship between BAL and BBY? A. No.”). BAL did not issue any master bills of lading to BBY, nor did it collect any freight monies directly from BBY. RPFF 34. All 618 container loads that BBY shipped on BAL vessels were booked through non-vessel operating common carriers (“NVOCCs”). RPFF 35. No one at BBY ever reached out to speak with anyone at BAL. RPFF 37.

Prior to BBBY's lawyers reaching out to BAL to threaten this lawsuit, BBBY never contacted BAL directly to dispute any D&D charges. RPFF 38. BBBY never reached out to BAL at any time to complain about, dispute, or request reconsideration of any specific detention or demurrage invoice. RPFF 39.

Prior to this proceeding, BBBY's attorneys, Huth Reynolds, sent a demand letter to counsel for BAL demanding reparations of demurrage and detention charges. RPFF 40. Counsel for BAL corresponded with Huth Reynolds on multiple occasions, requesting that BBBY provide evidence to support its claims, including evidence that detention fees were charged for days when a container could not be returned, or that demurrage fees were charged for days when a container was unavailable for pickup. RPFF 41. Despite these repeated requests, BBBY provided no information to substantiate any wrongdoing on the part of BAL. RPFF 42.

B. BBBY Flooded Its Already-Full Warehouses with Cargo While Failing to Modernize Its Supply Chain

BBBY is a large retail company that imported significant volumes of containerized cargo from Asia during the pandemic period. In 2019, BBBY made a deliberate business decision to double its imports from Asia in order to stock more private label merchandise. RPFF 43. BBBY substantially increased the volume of its container shipments during the pandemic. *See* RPFF 44-45. According to testimony from one of BBBY's warehouse managers, import volume in the Southern California region increased from 5,000 containers in 2019 to 10,000 in 2020, 15,000 in 2021, and 17,000 in 2022. RPFF 45.

In August and September 2021, immediately before BBBY began complaining about carrier D&D charges, BBBY booked for transport and shipped approximately 590 containers from Asia to the United States, even though it had no available warehouse space upon arrival. RPFF 46. In September 2021, BBBY also separately booked an additional 200 FEUs (the equivalent of 400 TEUs) at the same time its warehouses in the U.S. west coast were full. RPFF 47.

Melinda Porter, BBBY's manager responsible for warehouse operations at the City of Industry, Walnut, and Santa Fe Springs facilities, testified that BBBY's warehouses in these

locations were full approximately 50 percent of the time during the fall of 2021 through the end of 2022. RPFF 48-49. Porter testified that BBY's container yards were full with both loaded and empty containers, and that BBY had severe space constraints in its yards. RPFF 50. She further testified that BBY's normal operations could not function because of circumstances that bottlenecked BBY's operations, such that BBY could not always unload containers as quickly as necessary because it was simultaneously trying to bring in containers and ship out empties from its domestic carriers. RPFF 52. Porter also testified that BBY was operating in "survival mode," attempting to unload containers as quickly as possible and ship product out as fast as possible to make warehouse and yard space available. RPFF 53. At one point, BBY had approximately \$463 million in goods sitting at its import warehouses waiting to be unloaded, and using a value of approximately \$100,000 per container, that equates to roughly 4,630 idle containers. RPFF 54. Despite this backlog, BBY never stopped placing orders for more merchandise from Asia. *See* RPFF 55.

Prior to the pandemic, BBY's staff was largely unaccustomed to dealing with demurrage and detention charges. RPFF 56. Patrick Hackett, BBY's former Vice President of Logistics, testified: "I will tell you up until this time, the COVID time, we never paid detention or demurrage because we never put ourselves in those kind of situations. So a lot of this was all very new and situationally driven." RPFF 56. [REDACTED]

[REDACTED] RPFF 57. [REDACTED]
[REDACTED] RPFF 58.

BBY's own opening brief contends that BBY paid \$3,673,583 in detention charges. RPFF 73. Norton Lilly's records show that detention invoices issued on BAL's behalf in connection with BBY's cargo initially totaled [REDACTED]. RPFF 74. Thus, more than half of the detention initially invoiced on BAL's behalf was not ultimately collected. RPFF 75. Put differently, more than \$4.2 million in detention charges issued by Norton Lilly on BAL's behalf were ultimately canceled, mitigated, or waived. RPFF 76. BBY's own truckers, who were familiar with the Uniform Intermodal Interchange Agreement ("UIIA") process for disputing

detention charges, did not contest specific detention charges at the time they were assessed. RPFF 77.

BBBY has not identified, for any specific container, what actually caused the delay that gave rise to the charge. RPFF 78. In support of its claim, all that BBBY has submitted are general allegations of port congestion, the amount of detention and demurrage billed, and a spreadsheet that [REDACTED]

[REDACTED]

[REDACTED] RPFF 79. What BBBY's spreadsheet does not contain is any definitive, container-specific explanation, for why a particular container could not be picked up or returned within free time. RPFF 80.

For example, for container number [REDACTED], BBBY alleges only that, [REDACTED]
[REDACTED]
[REDACTED] RPFF

81. But BBBY does not provide any explanation for why container [REDACTED] specifically could not have been returned within free time, and the spreadsheet does not even identify a receive date, a POD-to-receive calculation, or the free time that BBBY contends applied to that container. RPFF 80, 82. BBBY has also not provided any data to indicate what the original D&D bill(s) on this container were, which would be dispositive of whether a discount, waiver, or mitigation was indeed already issued for this container. RPFF 87.

In another example, for container number [REDACTED], BBBY alleges that [REDACTED]
[REDACTED]
[REDACTED]
[REDACTED] together with generalized references to

pandemic-related bottlenecks and port congestion. RPFF 83. But BBBY does not provide any explanation for why container [REDACTED] specifically could not have been returned within free

time, and the spreadsheet again does not identify a receive date, a POD-to-receive calculation, or the free time that BBY contends applied to that container. RPFF 84. BBY has also not provided any data to indicate what the original D&D bill(s) on this container were, which would be dispositive of whether a discount, waiver, or mitigation was indeed already issued for this container. RPFF 87.

In still another example, for container number [REDACTED], BBY seeks [REDACTED] [REDACTED] but the spreadsheet provides no PFOF citation at all, and instead relies only on [REDACTED] [REDACTED] RPFF 85. But BBY still does not provide any explanation for why container [REDACTED] specifically could not have been picked up within free time, and the spreadsheet identifies only [REDACTED] [REDACTED] not the applicable free time or any container-specific reason for the charged delay. RPFF 86. BBY has also not provided any data to indicate what the original D&D bill(s) on this container were, which would be dispositive of whether a discount, waiver, or mitigation was indeed already issued for this container. RPFF 87.

C. The Relevant Tariff Provisions

BAL's published tariff sets forth its D&D rules, free time, and applicable rates. RPFF 88. The tariff was filed with the Federal Maritime Commission and publicly available in accordance with applicable law. *See* RPFF 88; *see also* 46 U.S.C. § 40501.

The tariff history reflects that BAL's D&D terms were publicly posted through BAL's FMC tariff filings during the relevant period, including Rule 21-010 as published and effective on May 14, 2021, later amended effective September 18, 2021, and later reflected in January 2022 history versions effective January 28, 2022. RPFF 91.

BAL's publicly available website also set out the process for disputing and resolving D&D charges. RPFF 92. Under the heading "Dispute settlement," the website stated that "[i]f the consignee disputes the amount of DEM or DET calculated and charged by the carrier (or its designated agent: including the terminal and shipping agent), it shall be submitted in writing to the

carrier's PIC for D&D within 30 calendar days after the issuance of the invoice of DEM or DET." RPFF 94. The website further required the submission to "attach relevant documents, including but not limited to" the "[r]elevant DEM or DET invoice, container number, shipment number (booking number or Bill of Lading number)," along with the "[r]easons for dispute," including claimed "[i]ncorrect free time," "[i]ncorrect rate," "[i]ncorrect date(s)," or "[o]ther operational issue," each with supporting documentation. RPFF 95. The website identified BAL's person in charge for D&D as "Mr. Parker Zhu, (usadd@bal.cn)." RPFF 96. And it stated that BAL's person in charge for D&D "will response with clear comments or solutions within 5 working days after receiving the dispute submission." RPFF 97.

BBBY was bound by BAL's tariff rates for the shipments at issue. *See* RPFF 100 (Sun Dep. Tr. 85:21-86:4) (confirming invoices were "in accordance to the published rate" filed with FMC). Gary Kardian, former Director of the FMC's Office of Service Contracts and Tariffs, confirmed that the FMC requires carriers to make their D&D rates public so that shippers are on notice of the rates they may be charged, and that any shipper, including BBBY, could have looked up BAL's published tariff to determine the per diem rate and the applicable free time. RPFF 99.

BAL charged \$125 per container per day for both demurrage and detention once free time expired. RPFF 102. BAL's demurrage rate of \$125 per container per day, after free time expired, was lower than the rates charged by COSCO, Evergreen, Yang Ming, Ocean Network Express (ONE), Wan Hai, Hyundai, and Hapag-Lloyd. RPFF 103. BAL's detention rate of \$125 per container per day was equal to COSCO and Wan Hai, and lower than Yang Ming, Hyundai, and Hapag-Lloyd. RPFF 104. Congress, with the enactment of OSRA 1998, removed the FMC's authority to regulate tariff rates and charges, and at no time since OSRA 1998 became law has the FMC challenged (other than a port congestion surcharge) any rate, surcharge, or demurrage and detention charge published in a common carrier's tariff. RPFF 105.

BBBY claims to have paid a total of \$9,695,192 in D&D charges, comprised of \$6,021,609 in demurrage and \$3,673,583 in detention. RPFF 106. Parker Zhu, BAL's employee responsible for demurrage, performed his own analysis of BBBY's data and testified that after subtracting

storage charges and maintenance fees, BAL actually collected \$4.29 million in demurrage on the BBY containers at issue, not the \$6,021,609 claimed by BBY. RPFF 107. Zhu further testified that BBY's chart contained duplicate entries because multiple bill of lading numbers were matched to the same container number, and that the duplicate entries had to be removed before an accurate total could be calculated. RPFF 108.

D. The Prior OOCL Proceeding

A prior FMC proceeding involving BBY and substantially similar factual and legal theories resulted in a ruling against BBY on the D&D claim. *See 20230930-DK-BUTTERFLY-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Apr. 24, 2026) [hereinafter "OOCL Initial Decision" or "OOCL proceeding"]; RPFF 109.

As relevant here, BBY asserted a claim under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 based on allegedly unreasonable detention and demurrage practices. *Id.* at 1-3, 146-48; RPFF 110. The initial decision expressly found, however, that "the evidence does not support a finding that OOCL violated section 41102(c) or 46 C.F.R. § 545.5 with regard to detention and demurrage charges as alleged in Count II." *Id.* at 2-3; RPFF 111.

In addressing that claim, the decision noted OOCL's position that BBY was required to prove unreasonableness on a "shipment-by-shipment, date-by-date, charge-by-charge basis," and it emphasized that the "primary difference" on the detention-and-demurrage claim was the reasonableness element. *Id.* at 147; RPFF 112. The ALJ further found that BBY "did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges" and instead relied on "vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges." *Id.* at 154; RPFF 113.

The decision also found that, "[g]iven that at least some of the detention and demurrage charges may have been the fault, and therefore responsibility, of BBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL." *Id.* at 155; RPFF 114. It therefore concluded that BBY "has not established that OOCL's detention and demurrage

charging practices were unreasonable as required for a section 41102(c) claim,” and denied Count II. *Id.* at 155; RPFF 115.

V. LEGAL FRAMEWORK

A. Section 41102(c) and the Detention and Demurrage Interpretive Rule

Count I concerns whether BAL’s D&D practices violated 46 U.S.C. § 41102(c), which provides that “[a] common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

On April 28, 2020, the Federal Maritime Commission issued an Interpretive Rule on Demurrage and Detention Under the Shipping Act, effective May 18, 2020. 85 Fed. Reg. 29638 (May 18, 2020) (the “Demurrage and Detention Rule”). The Demurrage and Detention Rule provides guidance regarding the factors the Commission may consider in assessing whether a detention or demurrage practice is unjust or unreasonable under Section 41102(c). 85 Fed. Reg. at 29638; *see also* 46 C.F.R. § 545.5.

Commission Rule 545.5 states, in relevant part, that its purpose is to provide guidance regarding how the Commission will interpret Section 41102(c) and 46 C.F.R. § 545.4(d) in the context of demurrage and detention practices. 46 C.F.R. § 545.5(a). The rule applies to practices and regulations relating to demurrage and detention for containerized cargo. 46 C.F.R. § 545.5(b). The rule further provides that, in assessing reasonableness, the Commission will consider the extent to which demurrage and detention serve their intended primary purpose as financial incentives to promote freight fluidity. 46 C.F.R. § 545.5(c)(1). The Commission may also consider particular applications of that incentive principle, including issues relating to cargo availability, the return of empty containers, notice of cargo availability, and government inspections. 46 C.F.R. § 545.5(c)(2). In addition, the Commission may consider the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution and billing practices. 46 C.F.R. § 545.5(d). The rule also provides that nothing in it precludes the Commission from considering factors, arguments, and evidence beyond those

specifically listed. 46 C.F.R. § 545.5(f).

The Commission has recognized that D&D historically includes both an incentivizing component and a compensatory component. In the Demurrage and Detention Rule, the Commission explained that, to the extent D&D traditionally had a compensatory aspect, it was to reimburse carriers for additional costs incurred after free time expired, such as costs associated with cargo remaining on a pier after free time, and the Commission cautioned that it cannot assume that D&D are the primary method by which ocean carriers recover all costs related to their equipment, capital investment, or container costs. *See* 85 Fed. Reg. at 29651.

B. Elements of a Section 41102(c) Claim and the Burden of Proof

To establish a claim for reparations under § 41102(c) in the context of D&D, a complainant must prove that:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4; *see also* Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Dec. 17, 2018); Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018).

The Complainant bears the burden of proof, “including the burden of producing evidence adequate to persuade the Commission. Respondent is not required to show that the practice is reasonable.” *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, Docket No. 94-10, 1996 WL 264720, at *13 (FMC May 15, 1996); *see also Seacon Terminals, Inc. v. Port of Seattle*, Docket No. 90-16, 26 S.R.R. 886, 898 (FMC Apr. 14, 1993). “The Commission has also emphasized the

degree to which assessments of reasonableness turn on the facts of the case at hand.” *MSRF, INC. v. HMM Co.*, Docket No. 22-20, 2023 WL 8242695, *22 (F.M.C. Nov. 22, 2023) (“MSRF has not carried its burden of producing evidence adequate to persuade that HMM has engaged in a practice that is unjust or unreasonable. Therefore, MSRF’s claim under Section 41102(c) is denied.”).

The OOCL Initial Decision applied that same burden-of-proof framework to the same Complainant, BBY, and confirmed that BBY failed to carry its burden on its D&D claim. OOCL Initial Decision at 151-152. In particular, the ALJ found that BBY “did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges” and instead relied on “vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges.” OOCL Initial Decision at 154.

C. Case Specific, Fact Bound Analysis Under *Evergreen*, *TCW*, and *OOCL*

The governing precedent recognizes that D&D disputes under Section 41102(c) require a case-specific analysis. In *Evergreen Shipping Agency (America) Corp. v. FMC*, the D.C. Circuit explained that detention charges provide an incentive for the timely return of equipment and may also compensate the carrier for the opportunity cost of late return. *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113, 1115 (D.C. Cir. 2024). The court also emphasized that the Commission may not adopt or apply the incentive principle as a single-factor bright-line rule. *Id.* at 1117-1118. Rather, the reasonableness determination has to account for the relevant facts and circumstances reflected in the record. *Id.*

Following remand, the Commission reaffirmed that case-by-case determinations are necessary to assess the reasonableness of challenged demurrage and detention practices. *TCW, Inc. v. Evergreen Shipping Agency (America) Corp.*, FMC Dkt. No. 1966(I), 2025 WL 516256 (FMC Feb. 13, 2025) (stating that case-by-case determinations are necessary).

Consistent with this framework, where a complainant challenges D&D assessed across multiple shipments and multiple dates, the complainant must present evidence sufficient to evaluate the reasonableness of the challenged practices as applied, including evidence concerning

the circumstances relevant to cargo availability, empty return, and any dispute process invoked, as those considerations bear on whether the charges served their intended incentive purposes. 46 C.F.R. § 545.5(c) to (d); *Evergreen*, 106 F.4th at 1117 to 1118.

The OOCL Initial Decision confirms how this fact-bound framework operates when applied to the same complainant and the same type of D&D theory asserted here. *See* OOCL Initial Decision at 151. There, the ALJ held that the proper inquiry was why the containers were not timely moved within free time, explaining: “If the containers had been picked up within free time, then, regardless of the rates, there would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the detention and demurrage charges were incurred. BBY has not presented evidence of why specific containers were not picked up within free time.” *Id.*

D. The OOCL Initial Decision Confirms BBY Failed to Meet Its Burden

The OOCL Initial Decision, addressing the same complainant and similar D&D claims, is instructive. In that proceeding, the ALJ applied the same burden-of-proof framework and case-specific analysis required here, and found that BBY failed to carry its burden.

The ALJ held: “If the containers had been picked up within free time, then, regardless of the rates, there would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the detention and demurrage charges were incurred. BBY has not presented evidence of why specific containers were not picked up within free time.” *Id.* at 151.

The ALJ further found that BBY “did not provide a shipment-by-shipment analysis of the reason containers accrued detention and demurrage charges” and that BBY instead relied on “vague, generalized, and anecdotal claims of congestion or equipment shortages without demonstrating in any case what actually caused delays to the specific containers which led to demurrage or detention charges.” *Id.* at 154.

And the ALJ expressly rejected BBY’s categorical refund theory, holding that “[g]iven that at least some of the detention and demurrage charges may have been the fault, and therefore

responsibility, of BBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL.” *Id.* at 155. The ALJ therefore concluded that BBY “has not established that OOCL’s detention and demurrage charging practices were unreasonable as required for a section 41102(c) claim.” *Id.*

The ALJ in the OOCL proceeding also found that BBY did not point to Commission precedent supporting the proposition that rates are unreasonable merely because they are higher than another carrier’s rates or because they include a profit component. *See id.* at 151. The ALJ further found that “BBY received a benefit – they retained use of OOCL’s container and chassis beyond the allotted free time” and that “BBY does not present the comparative cost/benefit analysis that would be required to determine whether the detention and demurrage charges were reasonably related to the benefit received.” *Id.*

ARGUMENT

A. BBY Has Not Met Its Burden to Prove a Violation of 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5

BBY seeks a sweeping refund of D&D charges assessed across hundreds of containers over two years, without engaging in the type of container-by-container analysis mandated by applicable law. The governing precedent and law does not permit such relief based on generalized assertions about pandemic congestion. A complainant must prove that the challenged practices were unjust or unreasonable as applied and that they proximately caused a claimed loss. 46 C.F.R. § 545.4; *Evergreen*, 106 F.4th at 1117-1118; *TCW*, 2025 WL 516256.

The record shows that BBY has not carried its burden. BBY relies heavily on aggregate spreadsheets and broad claims of pandemic disruption, rather than evidence sufficient to evaluate the reasonableness of charges on a case-by-case basis, including why particular containers were not picked up within free time or why particular empties could not be returned within free time. *See, e.g., Evergreen*, 106 F.4th at 1117-1118; 46 C.F.R. § 545.5(c)-(d). Notably, BBY has not identified, for any specific container, what actually caused the delay that gave rise to the charge. That omission is fatal under the governing framework. *See TCW, Inc. v. Evergreen Shipping*

Agency (America) Corp., FMC Dkt. No. 1966(I), 2025 WL 516256 (FMC Feb. 13, 2025).

BBBY has supplied only general facts, not specific facts. The critical distinction between general and specific facts, already recognized by the FMC in *Visual Comfort & Co. v. Cosco Shipping Lines Co., Ltd.*, directly applies here. *See Visual Comfort & Co., v. Cosco Shipping Lines Co., Ltd.*, Dkt No. 24-01, 2025 WL 1662697 (ALJ April 28, 2025). General facts, such as port congestion or substantially increased profits, are insufficient to establish that a specific detention or demurrage charge was unreasonable. *Id.* Rather, the relevant inquiry demands specific facts: whether the shipper was actually unable to pick up or return a particular container through no fault of its own on a particular date. *Id.* Gary Kardian, BAL's expert on tariff compliance and FMC regulatory practice, who himself served twelve years as Director of the FMC's Office of Service Contracts and Tariffs, summarized this problem in his report: "Because Mr. McCown makes no connection between BAL's alleged revenue or equipment cost to BBBY's inability to access *specific* containers, McCown's statements hold no water with respect to whether any detention or demurrage charge imposed by BAL was ultimately unreasonable." RPFF 118-119 (emphasis in original). BBBY has offered only general allegations of pandemic disruption, BAL profits, aggregate fee numbers, and various ways of comparing the fees to other metrics, but it has provided no specific facts, no particular container on a particular date where BBBY was unable to act through no fault of its own and BAL nevertheless assessed a charge that failed to serve the incentive purpose.

Finally, BBBY's Verified Complaint asserted a separate Count II for alleged violation of 46 U.S.C. § 41104(a)(10). RPFF 2. However, BBBY's Opening Brief does not address that claim. RPFF 3. Its legal framework, argument headings, and conclusion are all limited to Count I under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5. RPFF 3. Accordingly, BBBY has not presented any developed basis for relief under 46 U.S.C. § 41104(a)(10) in its Opening Brief.

B. BAL's Detention and Demurrage Practices Were Not Unjust or Unreasonable

BBBY's failure to carry its burden is fatal to its claim. Moreover, even setting aside BBBY's failure of proof, BAL's practices were entirely reasonable under the governing standard.

1. BAL's Practices Were Implemented Through a Public Tariff and Reflected Legitimate Detention and Demurrage Purposes

BAL's D&D rules, free time, and rates were set forth in BAL's publicly filed tariffs. RPFF 5. BBY's attempt to reframe tariff-based charges as per se unlawful is inconsistent with the Commission's fact-dependent framework and the case-specific approach required under *Evergreen* and *TCW*. *See Evergreen*, 106 F.4th at 1117-1118; *see also TCW*, 2025 WL 516256.

The Interpretive Rule recognizes D&D as incentive-based charges intended to promote freight fluidity. 46 C.F.R. § 545.5(c)(1). The Commission also recognized that these charges have historically included a compensatory component, while cautioning that it cannot assume D&D are the primary mechanism for recovering all equipment-related costs. *See* 85 Fed. Reg. 29638, 29651. This framework requires the Commission to evaluate reasonableness based on the record and the particular facts, not based on broad conclusions that any profit component or any charge during a disruption period is unlawful. Cathy Sun, BAL's Director of Equipment Control, confirmed that the purpose of BAL's detention charges was "to expedite the flow between the goods and the container." RPFF 6, 8. Similarly, Parker Zhu, BAL's corporate designee responsible for demurrage, confirmed that the policy of BAL and the terminals was to not charge demurrage when the customer could demonstrate that the container at issue could not be retrieved because the container was inaccessible or because the terminal was closed. RPFF 18. BAL's demurrage charges were generated from terminal data with "very little false information or mistakes." RPFF 30. Both practices are entirely consistent with the incentive principle codified at 46 C.F.R. § 545.5(c)(1).

Gary Kardian confirmed that the FMC requires carriers to make their D&D rates public so that shippers are on notice of the rates they may be charged, and that any shipper, including BBY, could have looked up BAL's published tariff to determine the per diem rate and the applicable free time. *See* RPFF 99.

a. The FMC's Interpretive Rule Imposes an Invoicing Obligation, Not a Categorical Prohibition on D&D

The Interpretive Rule is directed at the ocean carrier to invoice D&D correctly. RPFF 24. As Gary Kardian explained: If circumstances prevent the container from being picked up from the terminal or the empty container returned to the terminal, then the ocean carrier should take measures to correct the invoice. RPFF 25. The rule does not impose a blanket prohibition on D&D charges; it requires that carriers invoice correctly, given the actual circumstances. Where circumstances outside a shipper's control prevent pickup or return, the carrier must correct the invoice. BAL, and those acting on its behalf, did precisely this: it removed D&D charges for terminal closed dates and adjusted charges when presented with evidence of appointment unavailability. RPFF 23. The rule is complied with through accurate invoicing.

Cathy Sun confirmed at deposition that the invoices sent to customers were in accordance with the published rate filed with the FMC. RPFF 10 (Sun Dep. 85:21-86:4) ("The invoice sent out . . . by our agent was in accordance to the published rate. Q. With the FMC, correct? A. Yes."). Sun further testified that BAL would announce its rates on the FMC website in advance, issue proper invoices, and remove closed days from invoices in accordance with FMC guidance. RPFF 9. Similarly, with respect to demurrage invoices, Parker Zhu testified that BAL's demurrage charges were generated directly from terminal data with "very little false information or mistakes" because "the demurrage charges were created according to data provided by the terminals." RPFF 14. Zhu further explained that customers seeking to dispute demurrage charges must "provide certain informations for us to verify . . . includ[ing] the bill of lading, as well as the container number and they will need to provide documents as to what they're disputing about. After the information is verified, then we'll proceed." RPFF 29.

The OOCL Initial Decision addressing the same Complainant and similar theories is instructive. *See 20230930-DK-BUTTERFLY-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Apr. 24, 2026). There, the ALJ found that BBY did not point to Commission precedent for finding rates unreasonable merely because they were higher than

another carrier's rates or because there was a profit component. *Id.* at 151. Specifically, the ALJ found: "BBBY received a benefit – they retained use of OOCL's container and chassis beyond the allotted free time" and that "BBBY does not present the comparative cost/benefit analysis that would be required to determine whether the D&D charges were reasonably related to the benefit received." *Id.*

b. BAL's D&D Rates Were Reasonable and Below Industry Average

Gary Kardian prepared a comparative analysis of demurrage and detention rates charged by major ocean carriers during the relevant period. RPFF 101. His findings directly undermine BBBY's characterization of BAL's rates as "shockingly high." BAL's demurrage rate of \$125/day per container, after free time expired, was lower than COSCO, Evergreen, Yang Ming, Ocean Network Express (ONE), Wan Hai, Hyundai, and Hapag-Lloyd. RPFF 103. BAL's detention rate of \$125/day per container, after free time expired, was equal to COSCO and Wan Hai and lower than Yang Ming, Hyundai, and Hapag-Lloyd. RPFF 104. These rates have been representative of the market level for quite some time. RPFF 104. If BAL's rates are unreasonable, then by logical extension the rates of every major ocean carrier would also be unreasonable, a conclusion unsupported by any FMC precedent.

c. The FMC Lacks Authority to Regulate Tariff Rates

Gary Kardian, former Director of the FMC's Office of Service Contracts and Tariffs, confirmed that "Congress, with the enactment of OSRA 1998, took away the FMC's authority to regulate rates and charges. At no time since OSRA 98 became law, has the FMC challenged (other than a port congestion surcharge) any rate, surcharge or demurrage and detention charge published in a common carrier's tariff." RPFF 105. This historical background demonstrates that BBBY's attempt to challenge the level of BAL's published tariff rates as "unreasonable" is inconsistent with the statutory framework governing the FMC's authority.

2. BAL Maintained a Reasonable, Evidence-Based Dispute Review Process

In addition to complying with the D&D rules, free time, and rates set forth in BAL's publicly filed tariffs, BAL also implemented a reasonable dispute-resolution process consistent

with the Interpretive Rule.

The Interpretive Rule expressly permits the Commission to consider the existence, accessibility, content, and clarity of dispute resolution and billing policies. 46 C.F.R. § 545.5(d). The record shows BAL had an organized approach to review and adjustment.

Cathy Sun testified that, with respect to detention, Norton Lilly created detention invoices on BAL's behalf and handled detention collections. RPFF 11. Ms. Sun further testified that Norton Lilly and BAL communicated daily regarding container activity and abnormalities. RPFF 12.

BAL considered factors outside of a client's control and maintained a list of terminal closed dates based on terminal statistics, which was provided to Norton Lilly so that detention amounts for closed dates could be removed from invoices. RPFF 19-20. In addition, when clients claimed they were unable to obtain terminal appointments to return containers, BAL required the client to provide evidence, and after review, BAL would adjust the detention charge where the evidence was reasonable. RPFF 21.

BAL was aware of port congestion conditions at Los Angeles and Long Beach during 2021 and 2022. RPFF 22. However, awareness of systemic market conditions is not the same as causing BBY's inability to retrieve containers. The port congestion was an industry-wide phenomenon affecting all carriers and shippers equally. The question under *TCW* and *Evergreen* is not whether BAL knew conditions were difficult, but whether BAL's specific practices, as applied to specific containers on specific dates, failed to serve an incentive purpose. BBY has not made that showing for any specific container. *See Evergreen*, 106 F.4th at 1117-1118; *TCW*, 2025 WL 516256.

BAL utilized Norton Lilly as its agent to handle certain operational functions with respect to detention, including calculating, invoicing, and collecting detention charges on BAL's behalf. RPFF 11. Demurrage charges, by contrast, were calculated and collected by the terminal operators directly. RPFF 13. BAL's dispute process required evidence-based, verifiable support for any dispute or adjustment, consistent with the Interpretive Rule's focus on corroboration and clear dispute policies. *See* 46 C.F.R. § 545.5(d).

The record shows BAL had an organized approach to review and adjustment. With respect to detention, BAL provided Norton Lilly with a list of terminal closed dates, and Norton Lilly would automatically remove those days from detention invoices. RPFF 20. Additionally, if customers disputed detention charges based on their inability to obtain terminal appointments when attempting to return containers, BAL required customers to provide evidence of such circumstances. RPFF 21. After reviewing the evidence, if BAL determined that the evidence was reasonable, BAL would adjust the detention charge accordingly. RPFF 21. This two-tier approach demonstrates BAL's structured and policy-driven dispute resolution process, combining automatic removal of closed days with evidence-based adjustment for appointment unavailability.

Within BAL's internal structure, Cathy Sun, as Director of Equipment Control, was responsible for tracking and managing containers and handling detention matters. RPFF 6. Parker Zhu, as Assistant to the Senior Vice President, was responsible for accounts payable and collecting funds from customers, including demurrage. RPFF 7.

Gary Kardian testified that disputes and free time extensions require verifiable supporting information and that generalized assertions are insufficient. RPFF 26. Kardian further testified that an example of a viable excuse for waiver is when a trucker attempted to return a container but could not because the terminal was closed or was unable to receive it, and that in such circumstances a trucker should not be penalized for events outside its control. RPFF 27.

Consistent with this principle, Parker Zhu acknowledged that charging for containers placed in inaccessible areas of a terminal is unreasonable:

When a container is placed in an inaccessible area of the terminal and if the terminal still charges fees for this time, I believe it's unreasonable to the beneficiaries. The terminals, they understand this problem and therefore their invoices has already reduced such a charge when the container is inaccessible during this time.

RPFF 17; APP-1334 (Zhu Corp. Dep. Tr. 23:8-25). This testimony confirms that BAL's personnel understood the applicable standard and that BAL's practices were calibrated accordingly.

The record also shows that BAL's dispute review process functioned in practice. BBY's own opening brief contends that BBY paid \$3,673,583 in detention charges, even though Norton

Lilly's records show that detention invoices issued on BAL's behalf in connection with BBY's cargo initially totaled [REDACTED]. RPFF 73-74. Thus, more than half of the detention initially invoiced on BAL's behalf was not collected, meaning that more than \$4.2 million in detention charges were canceled, mitigated, or waived. This substantial reduction is strong evidence that BAL reviewed detention charges in practice and made adjustments when the circumstances warranted it. As Gary Kardian concluded, "[t]his is proof that the FMC's Interpretive Rule works in that if truckers provide sufficient and valid evidence, a carrier will review the information and make sound and reasonable business decisions, like BAL did in this case." RPFF 28.

Parker Zhu confirmed that incorrect invoices were extremely rare during 2021-2022: "from my recollection I had received in my mail above two to three, but this rarely happens because the demurrage charges were created according to data provided by the terminals. There exists very little false information or mistakes." RPFF 30. This testimony confirms that BAL's invoices were data-driven and accurate, with the expertise and experience of the terminals on-location, and that the few disputes that arose were promptly addressed.

Disputes were reviewed on a case-by-case basis and resolved where supported by verifiable evidence. RPFF31. The current complaint, asserting \$9.6 million across hundreds of containers was all unreasonable, is a wholesale post-hoc reconstruction. The absence of contemporaneous challenges is devastating to BBY's claim that BAL's charges were obviously unreasonable. Cathy Sun confirmed this record: "We don't have much FMC complaints because we have been reasonable." RPFF 32.

BAL's dispute resolution policy was clear and publicly available, published as part of BAL's governing tariff filed with the FMC. RPFF 90. As BAL's corporate witness, Qingzhi Liu, confirmed, BAL's policies on its website included the terms regarding the procedures clients would follow when faced with D&D issues, and those procedures were incorporated into BAL's FMC filings. RPFF 93. Customers seeking to dispute charges could contact the appropriate NVOCC, Norton Lilly, or BAL directly via email. RPFF 98. In BAL's tariff rules were published demurrage and detention rates and rules, a Chassis Rule, BAL's Dispute Resolution Policy, and a

rule pertaining to the equipment interchange agreement between Motor Carrier and BAL Container Line using the Uniform Intermodal Interchange and Facilities Access Agreement, also known as the UIIA. RPFF 89. The UIIA specified at Section 6 that free time shall be as provided in tariff rules and at Section 8 covered the Method of Dispute Resolution. RPFF 89.

The existence of this review process demonstrates that BAL did not blindly assess charges without regard to the circumstances; rather, it followed an organized approach to evaluating disputes.

3. BBY's Expert Did Not Establish Unreasonableness Under the Governing Standard

Beyond BAL's compliant practices and dispute process, BBY's own expert testimony fails to support its claims.

BBY relies on its expert, John McCown, to argue that BAL's rates were unreasonable because they were allegedly untethered to direct costs or opportunity costs. This framing does not establish a violation under Section 41102(c) without the required fact-bound showing that the charges failed to serve incentive purposes as applied to the specific circumstances giving rise to the charges.

In the OOCL proceeding, BBY advanced similar theories, including arguments that rates were "driving revenue" and comparisons to other benchmark rates. OOCL Initial Decision at 151. The ALJ rejected the premise that rates are unreasonable merely because they are higher than another entity's rates or include a profit component, and additionally emphasized that increased billing may reflect delays in retrieving cargo rather than rate levels. *Id.* Further, the OOCL Initial Decision recognized that BBY received a benefit by retaining use of equipment beyond free time, and that BBY did not present the comparative analysis necessary to determine whether charges were reasonably related to the benefit received. *Id.*

BAL's expert Carl Vogt testified that BAL's D&D practices during the relevant period were aligned with general industry practices. RPFF 120. In his expert report, Vogt further stated that "Neither Mr. McCown nor BBY have been able to cite any breach of contractual terms of

the port to port services rendered by BAL.” RPF 122. Vogt’s testimony supports the reasonableness of BAL’s practices in the context of industry-wide disruption.

Critically, McCown himself acknowledged at deposition that BAL’s per diem rates were broadly consistent with those charged by other carriers during the same period, stating: “I’m broadly aware that all of the carriers had similar per diems.” RPF 123. If the entire industry charged similar rates, those rates cannot be deemed unreasonable solely on that basis. When pressed on whether his methodology implied the entire industry was charging unreasonable D&D rates, McCown responded: “Yeah, that is certainly my view in terms of the tariff rates. The per diems in the \$200, \$250 a day range, I believe, are unreasonable on their face.” RPF 124.

Notably, McCown conceded at deposition that the FMC has never officially adopted any of his proposed metrics, including the revenue-to-D&D ratio or the per-TEU calculations, as the standard for assessing whether D&D is reasonable. RPF 125. The proposition that the entire industry’s published tariff rates were unreasonable is not grounded in any Commission precedent and should be rejected.

C. BBY’s Own Business Decisions Caused the D&D Charges

Even if BBY could establish that some aspect of BAL’s practice was unreasonable, BBY must still prove proximate causation of the claimed loss. *See* 46 C.F.R. § 545.4(e). BBY cannot do so here because the record shows that BBY’s own warehouse capacity constraints and operational bottlenecks substantially contributed to delays in container movement.

1. BBY Dramatically Increased Its Import Volume During the Pandemic

BBY substantially increased the volume of its container shipments during the pandemic. One of BBY’s own warehouse managers testified that import volume in the Southern California region increased from 5,000 containers in 2019 to 10,000 in 2020, 15,000 in 2021, and 17,000 in 2022. RPF 45. At the same time its warehouses were full, BBY was ordering two to three times as many containers into Southern California as before the pandemic. RPF 44. BBY witness Melinda Porter confirmed the result: “Containers in the yard, yes, we were full.” RPF 44.

In August and September 2021, immediately before BBY began complaining about carrier D&D charges, BBY booked for transport and shipped approximately 590 containers from Asia to the United States, even though it had no available warehouse space. RPFF 46. In September 2021, BBY also separately booked an additional 200 FEUs at the same time its warehouses were full. RPFF 47. This deliberate business decision to order massive quantities of cargo into a supply chain that had no room to absorb it was made by BBY's own leadership. The foreseeable consequence was extended dwell times and the accrual of D&D charges.

Porter also acknowledged that the volume coming in was simply more than BBY had the capacity to handle:

Q. Did you feel like the volume coming in was just way more than you had capacity to handle in 2021 and 2022?

A. . . . [T]o be honest with you, I think it – for me and my team at St. George, it was very frustrating. Because in 2020, we on-boarded the City of Industry building in anticipation of that volume increasing. We sat down and planned, like, a great plan on handling the increase of volume. And then, unfortunately, COVID happened and the containers just didn't flow the way we had anticipated. With the shutdowns, it bottlenecked everything, and it just caused a domino effect that went through 2020 into 2021. So for me and my team, it was just not optimal. Nothing flowed as we – as planned.

RPFF 59; APP-1120-1121 (Porter Dep. 33:12-34:5).

Additionally, Melinda Porter testified that during 2021 and 2022, due to the severity of conditions at the ports, BBY moved containers to locations other than its primary St. George facility, and St. George was not always the first stop. RPFF 60. Specifically, Porter testified that some containers went by rail directly to Savannah, where they came right off the ship and were placed on trains for transport to the East Coast. *See* RPFF 61. This multi-state distribution strategy, layered on top of BBY's dramatically increased import volumes, further reflects the complexity and self-imposed logistical burden that BBY undertook during the relevant period.

a. BAL Had No Obligation to Mitigate BBY's Own Operational Challenges

Gary Kardian testified that, regardless of whether BBY hired additional labor, obtained more warehouse space, or otherwise took steps to mitigate the charges, BAL had no role in what BBY could or could not do operationally. RPFF 132. The question of what mitigation steps BBY could or should have taken, whether hiring additional labor, obtaining additional warehouse space, or restructuring its supply chain, is entirely within BBY's own sphere of control and responsibility, not BAL's. The interpretive rule imposes no obligation on carriers to require shippers to take mitigation steps; it requires only that carriers invoice correctly based on the circumstances. *See* RPFF 24. Indeed, BAL and BBY had no direct relationship with each other. Furthermore, it was BBY, not BAL, who made the conscious decision to increase its imports to the United States (and therefore took the risk of congestion and fees associated thereto).

b. BBY's Own Inaction Contributed to the Charges

Gary Kardian further observed that BBY could also have appointed someone within the organization, or hired someone, to address these charges (especially as the D&D charges continued to grow into the millions of dollars), but BBY chose not to do so. *See* RPFF 70. Despite D&D charges mounting into the millions of dollars over multiple years, BBY decided not to appoint any employees to review or dispute these charges. RPFF 70. While BBY did eventually hire EDRAI, a technology company, to improve container visibility, that engagement did not occur until January 2022, which was after all BAL containers had already arrived, and it addressed only tracking, not the fundamental warehousing and import capacity constraints that caused containers to sit idle and D&D charges to accrue. RPFF 71. Instead, BBY now claims, post hoc, that all charges were unreasonable.

c. BBY Failed to Upgrade Its Supply Chain Infrastructure

Gary Kardian further observed that BBY's supply chain was "primitive" and that BBY had "failed for years to upgrade" its logistics infrastructure, even as it doubled import volumes. RPFF 66. Kardian noted that when Mark Tritton joined BBY as its new CEO in October 2019,

Tritton himself recognized that BBY's supply chain needed a fundamental overhaul. RPFF 67.

The consequences of this failure were severe. BBY's own Vice President of Global Transportation, Reid Klosowsky, testified that BBY's warehouses were "designed to handle a hundred containers, not a thousand." RPFF 68. Yet, during the relevant period, BBY in fact had more than a thousand containers in Southern California waiting to be unloaded. RPFF 69. When BBY's warehouses filled completely and goods moved slowly out to stores, this created a backlog in their warehouse yards. RPFF 69. BBY could not unload containers to return them to the terminals, and the containers remained mounted on chassis, draining the chassis pools in their respective areas. RPFF 69. This cascading domino effect was a direct consequence of BBY's own infrastructure decisions.

Compounding this problem, BBY initially had minimal visibility into a container's status once it was discharged from the vessel. RPFF 72. Although BBY eventually utilized EDRA to provide better container visibility later in the pandemic, BBY never engaged in discussions with any marine terminal operators in Los Angeles, Long Beach, or elsewhere to arrange dedicated gate access, such as a "hoot gate" or other means to address congestion at those facilities. RPFF 72.

BBY's decision to dramatically increase import volume without modernizing its supply chain to handle that volume was a business choice for which BBY, not BAL, must bear responsibility.

d. BBY Never Invested in Chassis to Support Its Operations

Gary Kardian noted that "[o]cean carriers long ago got out of the chassis business and importers rely on either local chassis pools or truckers' chassis to haul containers. There are some BCOs which have purchased chassis for their exclusive use by their nominated truckers; however, BBY never made that investment." RPFF 62.

When asked directly whose responsibility it was to find chassis during the relevant period, Melinda Porter acknowledged that responsibility fell to BBY's dray carriers, who maintained their own chassis fleets, and that BBY additionally relied on the chassis pool at the ports. RPFF 64. Porter further confirmed that during 2021 and 2022, chassis shortages forced BBY to engage

additional dray carriers, including Forrest Logistics as a broker, specifically to obtain containers with available chassis. RPFF 65. In short, BBY itself acknowledged that chassis management was the responsibility of its own dray providers, not BAL. BBY's failure to invest in chassis to support its expanded import operations contributed to the very delays it now seeks to blame on BAL.

2. BBY's Own Warehouse Operations Caused Bottlenecks, Preventing Timely Container Movement.

Beyond BBY's volume decisions, BBY's internal operational constraints additionally demonstrate that its own choices, not BAL's practices, caused the charges.

Melinda Porter, BBY's manager with responsibility for warehouse operations, testified directly about the internal bottlenecks that prevented BBY from moving containers in its normal course:

[B]ecause of the way the containers were coming in, we couldn't always get the containers . . . And then, because our yard wasn't ideal in the situation – it was full, whether it was loaded containers, empty containers. [W]e had spacing constraints in our yards. Also with our drayage carriers, also they had issues.

RPFF 48; APP-1121 (Porter Dep. 35:16-22).

[O]ur normal process couldn't work because of things that were outside of our control. So it bottlenecked our operations . . . in the sense of we couldn't always unload as quick as we possibly can because not only were we trying to bring in containers, but we also had to ship out. We had to bring in empties from our domestic carriers so we can ship out . . . So it was just kind of – we had space in our . . . yard that just wasn't flowing just because of the situation. [W]e were at capacity everywhere.

RPFF 48; APP-1121 (Porter Dep. 36:17-37:1).

Porter further described the overall operating environment during the relevant period as one where normal operations had completely broken down:

During that time, it was not a normal operational year for us just because of the way – containers didn't flow like they normally did just because of the COVID shutdowns, just the way the vessels arrived, just the way the ports were operating. It just was not a good time period for us. So our norm didn't come into play. So because of that, it was just kind of – we were in survival mode. So containers would

arrive and depending on spacing, capacity, weather, staffing, you know, for various reasons we would unload containers as best we can and ship product out as fast as we could. It was just – basically, we were in survival mode to try to get freight in and out as fast as we could to make space.

RPFF 53; APP-1119 (Porter Dep. 27:11-24).

The causal point is straightforward and was emphasized by the ALJ in the OOCL Initial Decision addressing the same Complainant and a similar claim. *See 20230930-DK-BUTTERFLY-1, Inc. v. Orient Overseas Container Line Limited*, FMC Dkt. No. 23-02 (Apr. 24, 2026). There, the ALJ explained that if the containers had been picked up within free time, there would have been no charges, regardless of the rates. *Id.* at 151. The ALJ further stated that it is important to determine why containers were not picked up within free time and why charges were incurred. *Id.* BBBY cannot satisfy this requirement through generalized claims about congestion, without evidence sufficient to evaluate the cause of delay for the specific containers and dates at issue.

BAL's expert, Carl Vogt, confirmed that supply chain conditions and congestion conditions during the relevant period were widespread across the shipping industry and testified that, based on the data he reviewed in this case and others, BAL's operational performance was above industry averages. RPFF 121. Under these circumstances, and particularly in light of Ms. Porter's testimony regarding full yards, spacing constraints, and bottlenecked unloading operations, the record supports BAL's position that BBBY's own operational constraints substantially contributed to the charges at issue.

The structural separation between BAL and BBBY is a critical fact that bears on the causation analysis. BBBY contracted with NVOCCs, not directly with BAL. RPFF 134. As Gary Kardian explained, BAL only dealt with NVOCCs, and NVOCCs dealt with BBBY, and while BAL knew the NVOCC customers, it had no way of knowing the ultimate customers or co-loaders on any given shipment. RPFF 36. This structural separation means BAL had no visibility into BBBY's internal warehouse capacity, staffing decisions, or supply chain management. BAL invoiced the NVOCCs with whom it contracted; any downstream issues between those NVOCCs and BBBY are not attributable to BAL's practices or decisions.

Kardian confirmed that “[i]t is customary in the industry to take 1 or 2 business days after payment is received by a common carrier to process a ‘release’ whereby any original bill of lading is collected and funds are in their possession.” RPFF 133. He further opined that “any delays encountered between BBY and the respective NVOCC could have [been] attributed to demurrage charges accruing.” RPFF 133. Because BAL contracted with NVOCCs, any delays in the NVOCC-to-BBY release process, including payment processing, are outside BAL’s control and cannot support a claim against BAL.

In addition, BBY’s own evidence regarding drayage obstacles, appointment limitations, chassis shortages, and terminal constraints emphasizes the complexity of the supply chain environment and supports the need for a container-specific evaluation rather than a blanket refund theory. *See* 46 C.F.R. § 545.5(c)-(d); *Evergreen*, 106 F.4th at 1117-1118; TCW, 2025 WL 516256.

Gary Kardian confirmed that “[d]ual transactions at West Coast marine terminals are not new and began long before the COVID-19 pandemic. When marine terminals are congested, it logically makes sense that, to accommodate incoming vessels, the trade-off between import loads and export loads should be one-for-one.” RPFF 135. The dual transaction requirement was an established industry practice, not a novel burden imposed by BAL or any other carrier. BBY’s complaints about dual transactions do not establish that BAL’s charges were unreasonable.

D. BBY’s Blanket, Aggregate Damages Theory is Inconsistent with the Required Fact Bound Analysis

The remedy BBY seeks is effectively a categorical refund of charges across two years. That request is inconsistent with the governing requirement of case-specific analysis under *Evergreen* and *TCW*, and with the Commission’s recognition that reasonableness determinations are fact-dependent. *Evergreen*, 106 F.4th at 1117-1118; *MSRF*, 2023 WL 8242695.

The OOCL Initial Decision, addressing the same Complainant and similar D&D claims, explicitly rejected BBY’s blanket refund theory. The ALJ held:

If the containers had been picked up within free time, then, regardless of the rates, there would have been no charges incurred by BBY. Therefore, it is important to determine why the containers were not picked up within free time and why the

detention and demurrage charges were incurred. *BBBY has not presented evidence of why specific containers were not picked up within free time.*

OOCL Initial Decision at 151 (emphasis added). The ALJ further held: “Given that at least some of the detention and demurrage charges may have been the fault, and therefore responsibility, of BBBY, it cannot be categorically found that all detention and demurrage charges should have been paid by OOCL.” *Id.* at 155. The same logic applies here.

McCown’s damages model compounds this error by purporting to calculate recoverable damages through a two-step reduction applied across all charges. The first step scales total D&D charges down from \$9,695,192 to \$235,604 by comparing BAL’s D&D incidence as a percentage of revenue (62.96%) to a purported industry norm of 1.53%, based on FMC data regarding the top nine carriers. RPFF 126. The second step then applies a further 23.9% discount on the grounds that even standard industry per diem rates are themselves unreasonably high, based on a blended average of three benchmarks: Trailer Bridge rates (21.3% of industry rates), European port rates (24.2%), and Knight Transportation trailer detention rates (26.3%). RPFF 127.

Each of these benchmarks is an inappropriate and unreliable basis for measuring the reasonableness of BAL’s D&D charges. Trailer Bridge is a niche Caribbean carrier that operates short-haul barge routes between the U.S. mainland and Puerto Rico, is not among the top thirty ocean carriers by capacity, and is not included in McCown’s own “top nine” industry peer group. RPFF 128. Trailer Bridge’s low per diem rates reflect its uniquely short haul distances and barge-based operations, which are not comparable to international ocean carriers operating at the Ports of Los Angeles and Long Beach during pandemic-era congestion. RPFF 129. European port rates are similarly inappropriate: comparing worldwide demurrage and detention statistics to those at the busiest ports in the United States has no bearing on BBBY’s claim here, as the shipping markets and port operations were vastly different during the COVID period. RPFF 130. Finally, Knight Transportation trailer detention rates reflect domestic over-the-road trucking operations involving 53-foot trailers, not ocean carrier container operations involving 40-foot containers. RPFF 131. None of these benchmarks involve ocean carriers, international trade lanes, or the operational

conditions that gave rise to the charges at issue. This procedure does not analyze any specific container, date, or circumstance, and is precisely the type of aggregate, non-shipment-specific analysis that *TCW* and *Evergreen* prohibit as a basis for establishing liability and damages under Section 41102(c).

CONCLUSION

For the foregoing reasons, BAL respectfully requests that the Commission find that BBBY has failed to establish a violation of 46 U.S.C. § 41102(c) or 46 C.F.R. § 545.5, deny BBBY's request for reparations, and dismiss the complaint in its entirety with prejudice.

DATED: June 18, 2026

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 18th day of June 2026, a true and correct copy of the foregoing **BRIEF FOR RESPONDENT BAL CONTAINER LINE CO., LIMITED-PUBLIC VERSION - CONFIDENTIAL MATERIALS EXCLUDED** was served via electronic mail on:

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